

Sanctions D-Day stops short of upending Trump-Xi summit

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【メール原文】

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Monday's sanctions rollout stopped short of imposing major new measures, instead significantly expanding the potential scope of sanctions and explicitly demanding that countries halt dealings with Iran.

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The announced measures fall below the threshold that would disrupt the Trump-Xi summit scheduled for September, and the administration's messaging in Treasury Secretary Scott Bessent's speech indicates that the US will continue to prioritize keeping the summit on track.

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Despite Bessent's indication that the US will target a "major financial institution" by the end of the week, the newly announced sanctions are unlikely to shift Iran's strategy in the near term.

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The US would need a more durable sanctions expansion to impose major economic pain on the Iranian regime, though Tehran would likely return to kinetic engagement before it capitulates.

The US announcement is more threat than action. On Monday, the US expanded the reach of its sanctions determinations to five additional sectors of Iran's economy: digital assets, technology, gold, aviation, and shipping. These new designations allow the US to target third-country actors that engage with Iranian entities in those sectors, giving Washington a larger pool of potential secondary sanctions targets. The US paired this expansion with a clear timeline for countries to end their dealings with Iran. Overall, President Donald Trump's administration appears to be using the threat of sanctions to pressure other countries to further isolate Iran's economy. The actual sanctions measures in the announcement were relatively lower-level and mirror earlier adjustments and updates to existing sanctions. As a result, the announcement suggests that the administration mainly intended it as a go-forward warning.

The Trump-Xi summit will likely proceed despite US sanctions expansion. The Trump administration will not impose aggressive sanctions on China that could derail the summit between Trump and Chinese President Xi Jinping planned for September. However, that doesn't mean the administration will refrain from all new sanctions on China. The US has targeted small refineries in the past, and it may take similarly limited actions against a range of targets. China's public comments on the sanctions suggest that Beijing can tolerate some limited measures, but any action targeting one of China's largest banks would remain unacceptable. Such a move would immediately halt the summit and would likely end

prospects for extending the Busan trade truce, particularly by raising the risk of restrictions on rare earth minerals shipments. Other measures against lesser banks, shipping companies, refiners, or prominent individuals would at a minimum heighten tensions ahead of the summit. Multiple sanctions across those domains, even if each measure is limited, could put the meeting at risk. The Trump administration understands that the fall summit could produce meaningful steps to preserve stability in trade and chokepoint goods. Treasury Secretary Scott Bessent's careful comments on China in the context of Iran sanctions suggest that the administration is trying to avoid a confrontation on that front. (For more, please see Targeted bilateral tariff reductions likely centerpiece of September summit , 27 July 2026.)

Iran is unlikely to make concessions in the near term. The sanctions rollout marks the latest step in the US shift from military strikes to economic pressure. However, the Iranian regime has a higher tolerance for pain than the US and will likely absorb the initial increase in sanctions pressure, especially because the latest sanctions largely target sectors that have endured similar pressure in the past. If US actions begin to seriously weaken Iran's domestic economy, the regime is more likely to resume kinetic actions, including more aggressive tanker attacks in the Strait of Hormuz and strikes on regional targets to increase costs for the US. That outlook aligns with our view that the US is less likely than Iran to restart military action on its own, and that Iranian escalation remains the most likely path to renewed conflict. (For more, please see US-Iran standoff will drag on as urgency for a deal falls , 17 August 2026.)

The UAE is the other actor most exposed to the US announcement. Beyond China, the UAE, particularly Dubai, is the largest conduit for Iranian banking activity. The US sanctions announcement appears intended in part to preempt that activity. The UAE already seems to be responding. On August 19, it announced that it would freeze all commercial and financial transactions with Iran "until further notice." There is an internal dynamic at play as well, as Dubai has played a larger role than Abu Dhabi in facilitating Iranian banking activity. Abu Dhabi has previously pressured Dubai to restrict Iranian access. The US likely intends to use its broader relationship with the UAE to push for tighter restrictions on Dubai-based actors. According to a 2024 Treasury Department report, the UAE as a whole—and Dubai in particular—transacted 71% of Iran's total shadow banking activity and received about 62% of the Iranian funds moved globally. That pattern leaves UAE-based entities particularly exposed under the expanded US sanctions framework.

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